BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

Company Petition No. CAA 46/PB/2018
With

Company Application No.CA (CAA) 16/PB/2018

Judgment dated: 08/05/2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

SHREE S.K. MOHAPATRA,

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

BHUMIKA POLYCAB PRIVATE LIMITED

..... (PETITIONER NO. 1 /TRANSFEROR COMPANY NO. 1)

AND

NRB ELECTROTECH PRIVATE LIMITED

..... (PETITIONER NO. 2 /TRANSFEROR COMPANY NO. 2)

AND

ADELA ELECTRICALS PRIVATE LIMTEd

.....(PETITIONER NO. 3 /TRANSFEREE COMPANY)

Their respective Shareholders and Creditors

MEMO OF PARTIES

BHUMIKA POLYCAB PRIVATE LIMITED

Company registered under the Companies Act, 1956

Having Registered Office at:

101, First Floor Block-BK, Shalimar Bagh (West),

Delhi-110088

.....Petitioner Company No. 1/ Transferor Company No. 1

NRB ELECTROTECH PRIVATE LIMITED

Company registered under the Companies Act, 1956

Having Registered Office at:

87, Block-MP, Pitampura,

New Delhi-110088

... ...Petitioner Company No. 2/Transferor Company No. 2

ADELA ELECTRICALS PRIVATE LIMTED

Company registered under the Companies Act, 1956

Having Registered Office at:

H-1448 DSIDC Industrial Complex Narela

New Delhi-110040

....(Petitioner Company No. 3 /Transferee Company)

For the Petitioner: Ms. Sudha Sachdev, CS

ORDER

M.M.KUMAR, PRESIDENT

1. This Joint Application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation. The copy of the Scheme has been placed on record.

2. A perusal of the petition that initially the First Motion application seeking directions for convening/dispensing with the meetings of Shareholders

and Creditors was filed before this bench and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its first motion order issued directions with respect to the same. On 30.05.2018 the Petitioners were directed to carry out publication in the newspapers English Daily 'Business Standard'(Delhi Edition) as well as in Hindi Daily 'Jansatta' (Delhi Edition). In addition thereto notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

3. It is seen from the records that the Petitioners have filed an affidavit affirming compliance of the order passed by the Tribunal dated 30.05.2018. A perusal of the Affidavit discloses that the petitioners have effected the newspaper publication as directed in English Daily 'Business Standard' (Delhi Edition) as well as in Hindi Daily 'Jansatta' on 29.06.2018in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition were duly served on the Regional Director, Northern Region, Registrar of Companies, Delhi and Haryana, Official Liquidator and Income Tax Department in compliance of the order and in proof of the same acknowledgement by the respective offices have also been place on record.

4. The Regional Director has filed its representation and has observed that firstly, in the balance sheet as at 31.03.2017 of Bhumika Ploycab Private Limited, advances of 10 Lakh is shown as given to Adela Electricals Private Limited as "Advances Given" and not as "Loan Outstanding". In contrast, in the balance sheet of Adela Electricals Private Limited as at 31.03.2017, unsecured loan of 10 Lakh from Bhumika Polycab is shown. A rejoinder has been filed to state that this transaction is in the nature of an unsecured loan. The companies have submitted that the same has been shown under the head "loans and advances" i.e. Schedule 8 of the balance sheet while reporting AS-18 transaction, it was inadvertently written under the head "Advances Given" instead of the head "Loans Given".

Secondly, the RD has submitted that the note numbers 13-17 on the financial statements as at 31.03.2017 of the Transferee Company was not attached to the financial statement filed on the MCA portal. In reply to the second observation, the company has stated that an application is filed with the RoC, Delhi and Haryana under rule 10(16) of the Companies (The Registration Offices & Fees) Rules, 2014 for cancellation of existing form AOC-4 with a request that the transferee company be permitted to file fresh form AOC-4 for FY ending 31.03.2017 with complete financial statements.

5. The Official Liquidator has filed a report on 19.07.2018 wherein it has been stated that he has not received any compliant against the proposed Scheme from any person/party interested in the scheme in any manner and that the affairs of the Petitioner Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

6. It is pertinent to note Income Tax Department has also given its no objection to the Scheme of Amalgamation.

7. In the joint petition it has also been affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 are pending against the Petitioner Companies.

8. Certificates of respective Statutory auditors of the both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

9. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern

Region, Ministry of Corporate Affairs, the reports of official Liquidator and Reports of Income Tax Department, there appears to be no impediment in sanctioning the present scheme. Consequently, sanction is hereby granted to the scheme under section 230 to 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

10. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

While approving the Scheme as above, we further clarify that this order should not be construed as an order in any granting exemption from payment of stamp duty, taxes including income tax, GST etc or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

11. THIS TRIBUNAL DO FURTHER ORDER(S):

(A) WITH RESPECT TO TRANSFEROR COMPANIESAND TRANSFEREE COMPANY

1. That the Transferor Companiesstand dissolved without being wound up; and

2. That all the property, rights and powers of all the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates and interests of the Transferor Companiestherein but subject nevertheless to all charges now affecting the same; and

3. That all the liabilities and duties of the Transferor Companies be transferred without further act or deed, to Transferee Company and accordingly the same shall, pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company.

4. That all proceedings now pending by or against the Transferor Companies by continued by or against the Transferee Company; and

5. That all the employees of the Transferor Companies in Service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the

Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in concerned Transferor Companies on the said date.

6. That Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to the Transferee Company and the files relating to all the petitioner companies shall be consolidated accordingly.

Any person interested shall be at liberty to apply to the tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR)
PRESIDENT

Sd/-

(S.K. MOHAPATRA)
MEMBER(T)

(vidya)
08/05/2019